
Introduction to Economics

Class 5 — Competitive markets, demand and supply

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Universitat de Barcelona · Group A6

5 October 2026

Quiz 3

8 minutes · pens down at 10:08

Circle the letter of your answer in the block at the top.

Changed your mind? Cross out that circle and circle the new letter.

Write your name on the block, tear the strip off along the dashed line, hand in *only the strip*.

Plan for today

10:00	Quiz 3
10:08	Block 1, one more look
10:13	Block 2 begins: the metro's price cut
10:16	A competitive market
10:19	Demand: a curve, a move along it, a shift
10:50	Break
11:00	Project: the sign-up sheet
11:03	Supply: a curve, a move along it, a shift
11:31	Both curves on one picture
11:40	Before Thursday

Block 1, one more look: same cost on both sides

Pau bakes 4 croissants or 2 ensaïmadas an hour; Júlia 8 or 4. Which deal makes both better off?

- A)** Júlia bakes everything: she is faster at both
- B)** Pau sells Júlia ensaïmadas at 1 croissant each
- C)** Pau sells Júlia ensaïmadas at 3 croissants each
- D)** None: an ensaïmada costs both 2 croissants

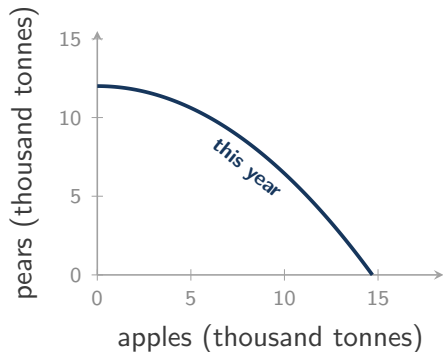
Block 1, one more look: same cost on both sides

Pau bakes 4 croissants or 2 ensaïmadas an hour; Júlia 8 or 4. Which deal makes both better off?

- A) Júlia bakes everything: she is faster at both
- B) Pau sells Júlia ensaïmadas at 1 croissant each
- C) Pau sells Júlia ensaïmadas at 3 croissants each
- D) None: an ensaïmada costs both 2 croissants ✓**

At 1, Pau gives away 2 croissants' worth for 1. At 3, Júlia pays 3 for what costs her 2. At 2, neither gains. Faster at both is not a reason to trade; a different cost is.

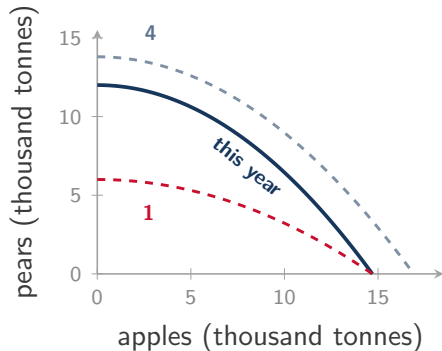
Block 1, one more look: what moves the frontier?



- 1 A storm flattens half the pear orchards.
- 2 The world price of apples doubles.
- 3 The island grows more pears, fewer apples.
- 4 New irrigation helps both crops.

Two minutes. Which of the four move Thursday's frontier — and how?

Block 1, one more look: what moves the frontier?



- 1 A storm flattens half the pear orchards.
moves it: the pear end comes in
- 2 The world price of apples doubles.
no move: nothing it can make has changed
- 3 The island grows more pears, fewer apples.
a move along the frontier
- 4 New irrigation helps both crops.
moves it out, both ends

Resources and technology move the frontier; prices move you along it — today's rule, twice.

Block 2: markets

What sets the price: demand and supply

September 2022: a month of metro for 20 euros, not 40



T-usual, one zone, from 1 September 2022

What did people do?

ATM (Autoritat del Transport Metropolità), fares from 1 September 2022: the T-usual at half price.

2023: a record 1,087 million journeys, 17 % more than 2022

1,087 million

public transport journeys in 2023
+17 % on 2022 · +3 % on 2019

53.5 % → 17 %

the ten-ride ticket's share
of journeys, 2019 to 2023
(T-10, then T-casual)

Price halved, journeys up. All the price's doing? Back to it at the end of the hour.

ATM, press release of 25 January 2024 (journeys in the integrated area; shares of journeys on integrated tickets).

A competitive market: many buyers, many sellers, one price

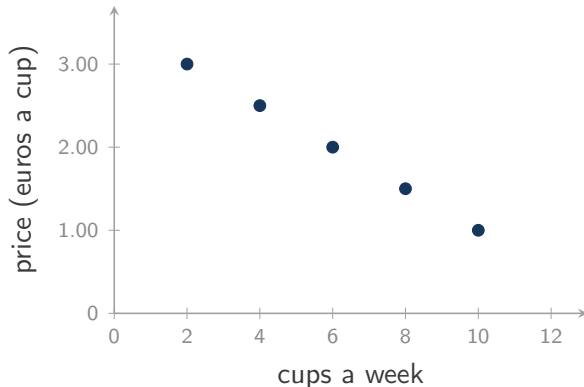
- One good, the same from every seller
- So many buyers and sellers that no one can move the price
- Everyone takes the price as given

Mercabarna's tomatoes: close. The metro: one seller — its buyers still follow a demand curve.

Demand: at each price, how many cups Mireia buys

price (€ a cup)	cups a week
1.00	10
1.50	8
2.00	6
2.50	4
3.00	2

Mireia's demand schedule

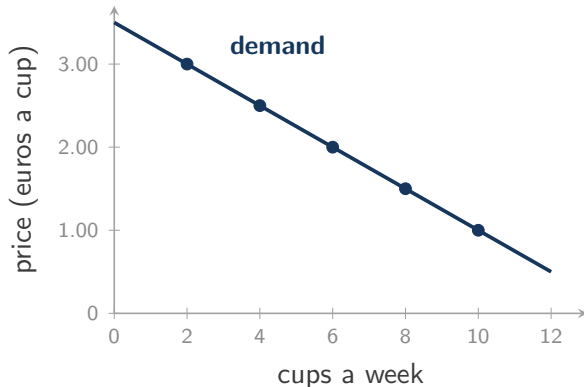


Law of demand: other things equal, the price rises, the quantity demanded falls.

Demand: at each price, how many cups Mireia buys

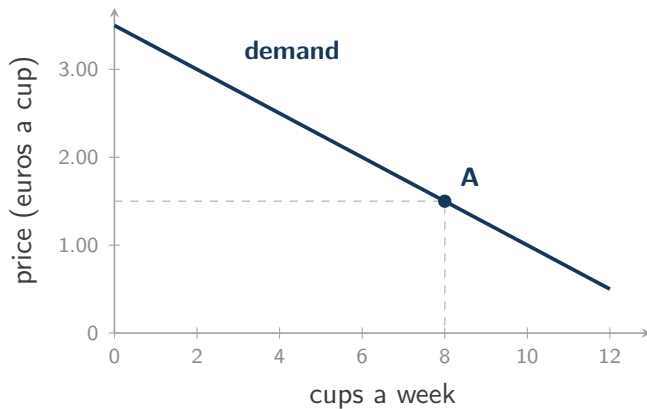
price (€ a cup)	cups a week
1.00	10
1.50	8
2.00	6
2.50	4
3.00	2

Mireia's demand schedule

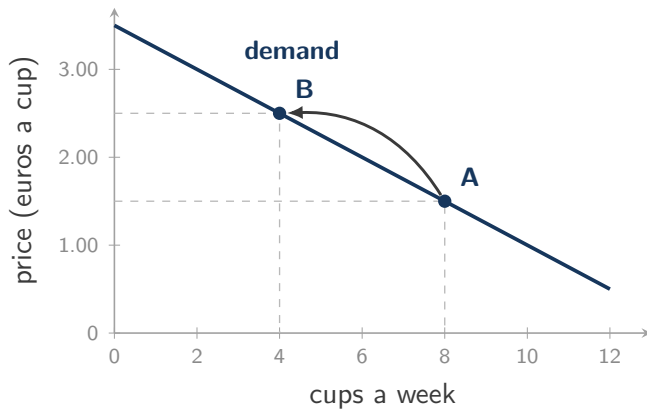


Law of demand: other things equal, the price rises, the quantity demanded falls.

A dearer cup: fewer cups, the same curve

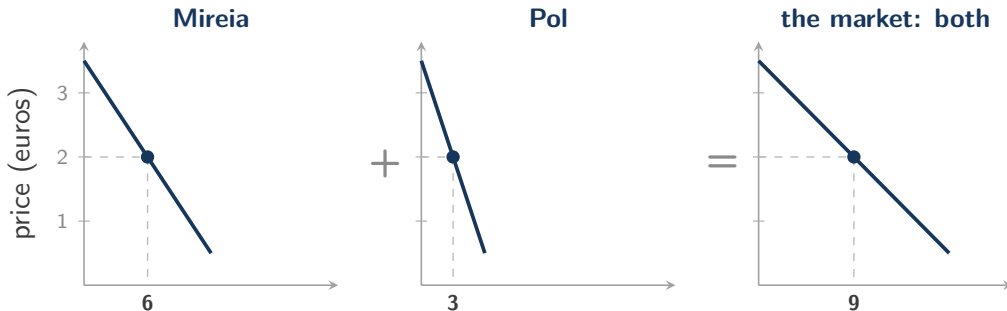


A dearer cup: fewer cups, the same curve



A to B: the quantity demanded fell from 8 to 4. The curve — demand — did not move.

Market demand: at each price, add the buyers up



At 2 euros, Mireia 6 + Pol 3 = 9 a week: the buyers' curves added sideways.

In pairs: add up the market

Three buyers of cups a week. Fill the last column; then the question.

price	Ona	Biel	Roser	the market
1.00	6	4	5	
1.50	5	3	4	
2.00	4	2	3	
2.50	3	1	2	

The bar raises the price from 1.50 to 2.00: a move along the market curve, or a shift of it?

Three minutes.

In pairs: add up the market

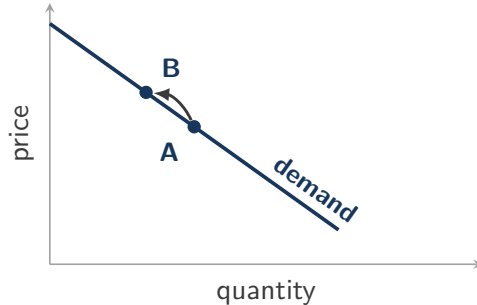
Three buyers of cups a week. Fill the last column; then the question.

price	Ona	Biel	Roser	the market
1.00	6	4	5	15 cups
1.50	5	3	4	12 cups
2.00	4	2	3	9 cups
2.50	3	1	2	6 cups

The bar raises the price from 1.50 to 2.00: a move along the market curve, or a shift of it?

Along it: 12 cups to 9. Nothing but the price changed, so demand did not.

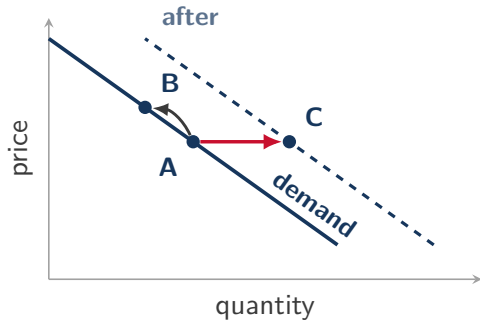
Price moves you along the curve. All else moves the curve.



A → B

a move along the curve:
the price changed

Price moves you along the curve. All else moves the curve.



A → B

a move along the curve:
the price changed

A → C

the curve moved:
something else changed

Along the curve: the **quantity demanded** changes. A shift: **demand** changes.

What moves the demand curve

- **Income** rises: normal goods up, inferior goods down
- Price of a **substitute**: tea dearer, more coffee
- Price of a **complement**: croissants dearer, less coffee
- **Tastes** and **expectations**
- The **number of buyers**

Right: more wanted at every price. Left: less at every price.

In pairs: demand for metro journeys — along the curve, or a shift?

- 1 The T-usual drops from 40 to 20 euros.
- 2 Offices reopen after Covid.
- 3 Petrol gets dearer.
- 4 Taxis get cheaper.
- 5 Cycling to work becomes the fashion.

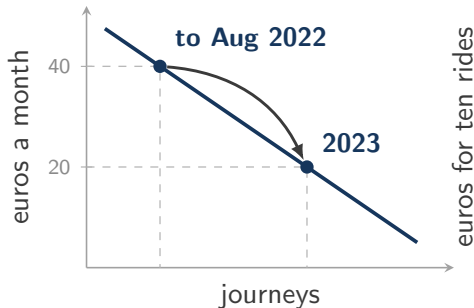
Three minutes. A move along the curve or a shift — and which way?

In pairs: demand for metro journeys — along the curve, or a shift?

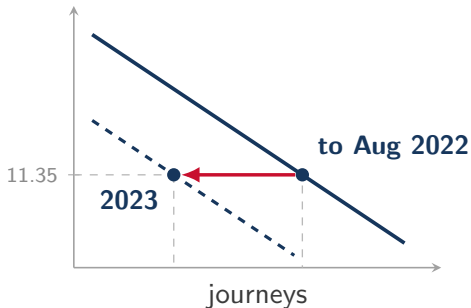
- 1 The T-usual drops from 40 to 20 euros.
along the curve, down and to the right
- 2 Offices reopen after Covid.
shift right: more buyers
- 3 Petrol gets dearer.
shift right: driving, a substitute, got dearer
- 4 Taxis get cheaper.
shift left: a substitute got cheaper
- 5 Cycling to work becomes the fashion.
shift left: tastes changed

One price cut: along one curve, a shift of the other

(a) T-usual: price halved



(b) T-casual: a substitute got cheaper



2023: the T-usual first, 37 % of journeys; the T-casual 17 %. Buyers moved to the substitute.

ATM, press release of 25 January 2024; fares: ATM, from 1 September 2022. The curves are sketches, not data.

Break

Back at 11:00

Project: sign up for your idea meeting

- The sheet goes round now: one slot per group, six minutes
- Thursday 8 October, 12:00–13:00
- The day before your slot: your idea in one paragraph, by e-mail
- Full brief on the course page



course page

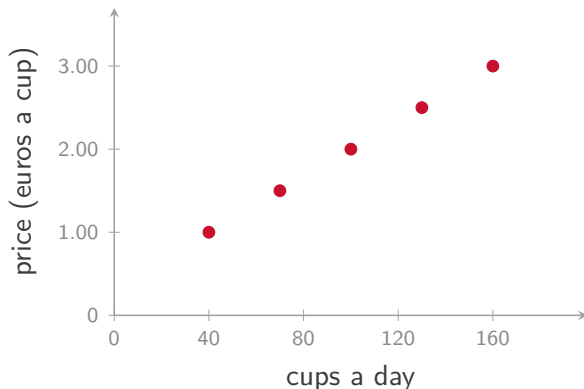
Supply

The sellers' side of the same market

Supply: at each price, how many cups Bar Nou makes

price (€ a cup)	cups a day
1.00	40
1.50	70
2.00	100
2.50	130
3.00	160

Bar Nou's supply schedule

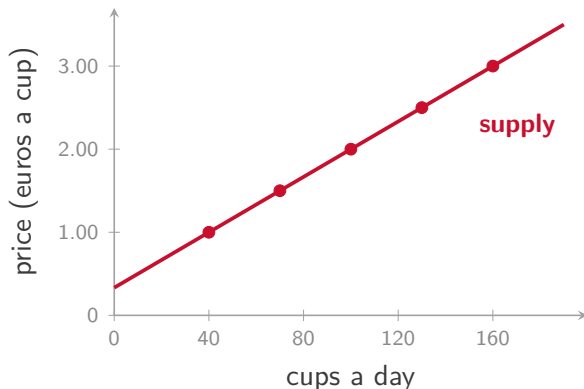


Law of supply: other things equal, the price rises, the quantity supplied rises.

Supply: at each price, how many cups Bar Nou makes

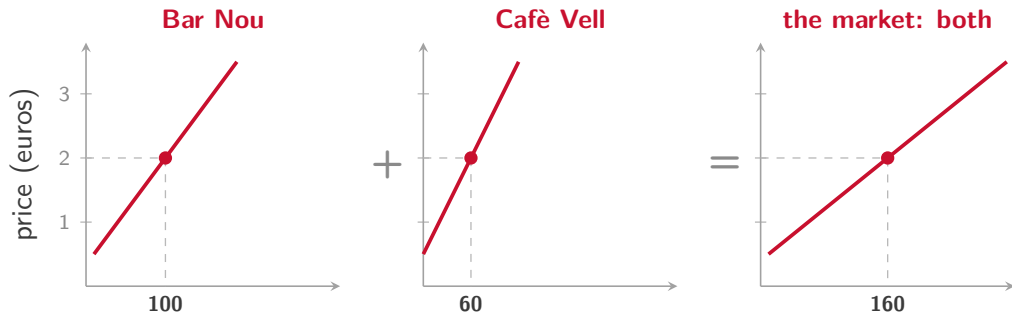
price (€ a cup)	cups a day
1.00	40
1.50	70
2.00	100
2.50	130
3.00	160

Bar Nou's supply schedule



Law of supply: other things equal, the price rises, the quantity supplied rises.

Market supply: at each price, add the sellers up



At 2 euros, Bar Nou 100 + Cafè Vell 60 = 160 a day: the sellers' curves added sideways.

In pairs: add up the sellers

Two sellers of cups a day. Fill the last column; then the two questions.

price	Forn Gran	Bar Petit	the market
1.00	30	10	
1.50	50	20	
2.00	70	30	
2.50	90	40	

- 1 The price rises from 1.50 to 2.00 — along the curve or a shift?
- 2 Bar Petit closes — along the curve or a shift?

In pairs: add up the sellers

Two sellers of cups a day. Fill the last column; then the two questions.

price	Forn Gran	Bar Petit	the market
1.00	30	10	40 cups
1.50	50	20	70 cups
2.00	70	30	100 cups
2.50	90	40	130 cups

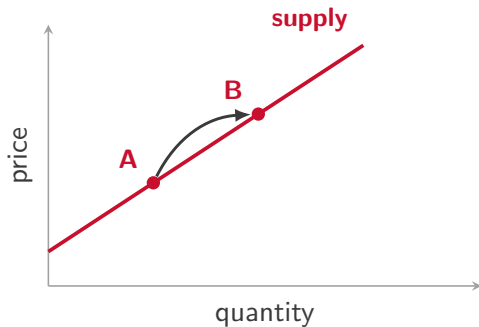
- 1 The price rises from 1.50 to 2.00 — along the curve or a shift?

Along it: 70 cups to 100. The curve did not move.

- 2 Bar Petit closes — along the curve or a shift?

A shift left: fewer sellers. The market loses Bar Petit's column.

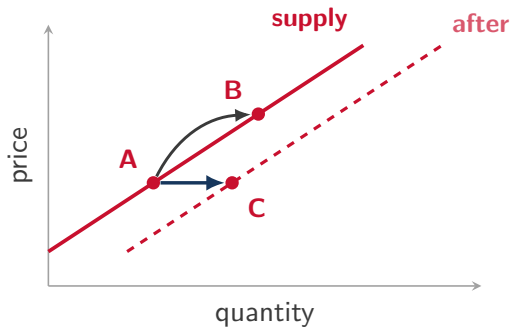
Price moves you along the supply curve. All else moves the curve.



A → B

a move along the curve:
the price changed

Price moves you along the supply curve. All else moves the curve.



A → B

a move along the curve:
the price changed

A → C

the curve moved:
something else changed

Along the curve: the **quantity supplied** changes. A shift: **supply** changes.

What moves the supply curve

- **Input prices:** beans, milk, wages, rent
- **Technology:** more cups an hour
- **Expectations** about the price
- The **number of sellers**

Right: more offered at every price. Left: less at every price.

In pairs: the street's supply of coffee — along it, or a shift?

- 1 Coffee beans double in price.
- 2 A new machine makes two cups a minute.
- 3 The price of a cup rises to 2 euros.
- 4 Three new bars open on the street.
- 5 Baristas' wages rise.

Three minutes. A move along the curve or a shift — and which way?

In pairs: the street's supply of coffee — along it, or a shift?

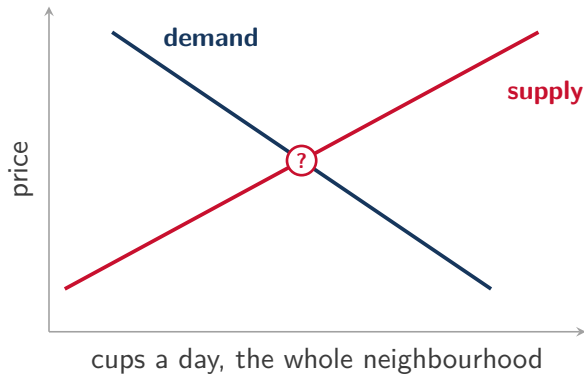
- 1 Coffee beans double in price.
shift left: an input got dearer
- 2 A new machine makes two cups a minute.
shift right: a better machine
- 3 The price of a cup rises to 2 euros.
along the curve, up and to the right
- 4 Three new bars open on the street.
shift right: more sellers
- 5 Baristas' wages rise.
shift left: wages are an input

Two pairs of words that are not the same

what changed	on the picture	say
the price	along the curve	quantity demanded · quantity supplied
anything else	the curve shifts	demand · supply

“Demand rose” means the curve moved. “Quantity demanded rose” means the price fell.

Demand and supply on one picture: where they cross, Thursday



Thursday: what happens at the crossing — and what moves it.

**Price moves you along a curve.
Everything else moves the curve.**

Demand and supply: anything but the good's own price.
The frontier: resources and technology move it.

Before Thursday 8 October

- Read Mankiw & Taylor, Ch. 3, pp. 44–52 — supply and demand together, prices as signals, changes in equilibrium
- Practise Block 1 in Sextant: the units for Classes 2 and 3
- Project: idea meetings Thursday, 12:00–13:00; your idea by e-mail the day before your slot
- Thursday 8 October — equilibrium: where the two curves meet



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